- The stock no longer meets your investment criteria.
- You want to switch into something better — although an investor should be careful here and only switch if "very sure of his ground."

Looking at those, you can see that the decision of when to sell is still not easy. It's not so easy to know when you've made a mistake. You can certainly talk yourself into believing anything. The second one is maybe the easiest, if you have well-defined investment criteria. Finally, switching is treacherous too. Every stock that's moving looks better than the one you're thinking of selling. And there are always stocks that are moving.

You'll note that none of these reasons has anything to do with the stock price.

In his *100 to 1 in the Stock Market*, Thomas Phelps too is a great proponent of buying right and holding on. But "does this mean one should never sell anything?" he asks. The answer is no.

Phelps's selling advice is one you can sum up in one sentence too: "Never if you can help it take an investment action for a non-investment reason."

Some of these "non-investment reasons" include these:

1. My stock is "too high."
2. I need the realized capital gain to offset realized capital losses for tax purposes.
3. My stock is not moving. Others are.

Phelps believes you should sell when you've made a mistake. And once again, as with all great investors, he does not define a mistake as a stock that is simply down in price. (In fact, in a bull market, a mistake may well mean taking profits. It's a mistake because it represents a lost opportunity to have made bigger profits. And you pay a capital gains tax as a penalty.)

I know a lot of people use so-called "stop losses." This is when you sell a stock once it's fallen a certain amount. Stop losses are popular because they take a difficult decision — perhaps the most difficult in all of investing — and make it mechanical. You don't have to think about